

Ledger Settlement in D365 FO: User Guide

A Comprehensive Guide to Managing Ledger Settlements

Introduction

This guide is designed to help users to understand:

1. Configurations
2. Manual Ledger settlement process
3. Automation of Ledger settlement process.
4. Reversal of Ledger settlement transaction.

What is Ledger Settlement?

Ledger settlement is the process of matching debit and credit transactions in the general ledger. The settlement of the debit and credit amounts is used to reconcile the balance of the ledger account with the detailed transactions that make up that balance, ensuring that financial records accurately reflect the state of the organization's finances. Efficient ledger settlement is vital for maintaining financial integrity and simplifying the period-end closing process.

Configurations

To configure ledger settlement in D365 FO, follow these steps:

- Go to General ledger > Ledger setup > General ledger parameters > Ledger settlements tab
- Set the Enable ledger settlement option to Yes.
- Select Chart of Accounts
- Click on New button and Add ledger Accounts which are applicable for ledger settlements

Finance and Operations | General ledger > Ledger setup > General ledger parameters

Standard view ▾

General ledger parameters

Ledger

Sales tax

Inventory dimensions

Reverse charge

Number sequences

Batch transfer rules

Chart of accounts and dimensions

Standard Audit File for Tax (SAF-T)

Ledger settlements

Financial tags

Multi company journal import setup

Ledger settlements

Enable ledger settlements

☒ Yes

ADVANCED AWARENESS OPTIONS PARAMETERS

Enable advanced awareness options ☐ No

Enable post currency realized gains/lo... ☐ No

Partial ledger settlements ☐ No

Enable process automati... ☐ No

Set up the list of accounts that can be used for ledger settlement

Charts of accounts: Shared ▾ Description: Shared Chart of Accounts

+ New Delete

	Main account	Account name	Settlement typical balance
☒	110110 ▾	Bank Account - USD	Debit ▾
☐	200115	Accounts Payable - Employees	Credit
☐	250300	Mortgage Payable	Credit

Performing Ledger Settlement

Manual ledger settlement process

- Go to General ledger> Periodic tasks > Ledger settlements
- Add criteria like From date, To date, Posting layer, Financial dimension set and click on “Display Transactions” button.
- System will display transactions for settlement as per criteria. Note- System will display transactions of ledger account which are selected in GL parameter.
- Select the transactions which user wants to settle and click on Mark selected button. Please note the debit and credit side for the transactions must match with each other's. (Partial settlement is not covered in this document)

Finance and Operations | General ledger > Periodic tasks > Ledger settlements | USMF

Ledger settlements

Standard view

From date: 6/1/2024 To date: 9/30/2024 Date interval code: Posting layer: Current Financial dimension set: Display transactions

Mark selected Unmark selected Selected: 0.00 Marked: 0.00 Show all Status: Not settled Sort by absolute amount: None

Marked	Status	Se...	Dat...	Journal number	Voucher	Date	Ledger account	D...	Currency	Amount in tra...	Amount	Posting type
	Not settled			028674	SPS-01002034	8/2/2024	401400-002---CarAudioRM		USD	-77.00	77.00	Sales - packing slip
	Not settled			028675	INV-10000825	8/2/2024	401400-002---CarAudioRM		USD	77.00	77.00	Sales - packing slip
✓	Not settled			028679	SPS-01002035	8/2/2024	401400-002---CarAudioRM		USD	-60.00	60.00	Sales - packing slip
✓	Not settled			028680	INV-10000826	8/2/2024	401400-002---CarAudioRM		USD	60.00	60.00	Sales - packing slip
	Not settled			028749	SPS-01002045	8/30/2024	401400----		USD	-100.00	100.00	Sales - packing slip
	Not settled			028750	SPS-01002046	8/30/2024	401400----		USD	-1,000.00	1,000.00	Sales - packing slip
	Not settled			028751	SPS-01002047	8/30/2024	401400----		USD	-1,000.00	1,000.00	Sales - packing slip

Finance and Operations | General ledger > Periodic tasks > Ledger settlements | USMF

Ledger settlements

Standard view

From date: 6/1/2024 To date: 9/30/2024 Date interval code: Posting layer: Current Financial dimension set: Display transactions

Mark selected Unmark selected Selected: -60.00 Marked: 0.00 Show all Status: Not settled Sort by absolute amount: None

Marked	Status	Se...	Dat...	Journal number	Voucher	Date	Ledger account	D...	Currency	Amount in tra...	Amount	Posting type
	Not settled			028674	SPS-01002034	8/2/2024	401400-002---CarAudioRM		USD	-77.00	77.00	Sales - packing slip re
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	Not settled			028749	SPS-01002045	8/30/2024	401400----		USD	-100.00	100.00	Sales - packing slip re
	Not settled			028750	SPS-01002046	8/30/2024	401400----		USD	-1,000.00	1,000.00	Sales - packing slip re
	Not settled			028751	SPS-01002047	8/30/2024	401400----		USD	-1,000.00	1,000.00	Sales - packing slip re

- Click on "Settle marked transactions" button and select date for settlement and click on Settle button.

Finance and Operations | General ledger > Periodic tasks > Ledger settlements | USMF

Ledger settlements

Settle marked transactions

Date for settlement: 6/5/2025

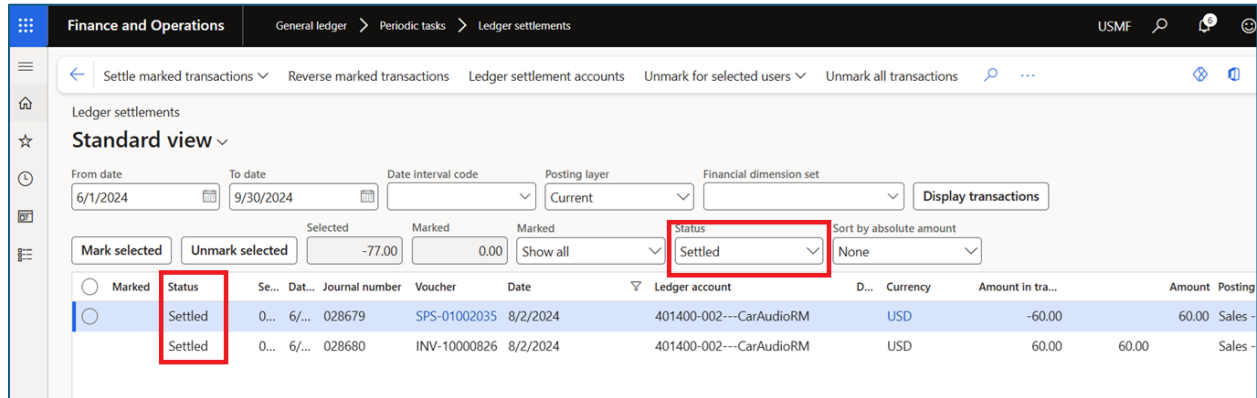
Settle

From date: 6/1/2024 To date: 9/30/2024 Date interval code: Posting layer: Current Financial dimension set: Display transactions

Mark selected Unmark selected Selected: -60.00 Marked: 0.00 Show all Status: Not settled Sort by absolute amount: None

Marked	Status	Se...	Dat...	Journal number	Voucher	Date	Ledger account	D...	Currency	Amount in tra...	Amount	Posting type
	Not settled			028674	SPS-01002034	8/2/2024	401400-002---CarAudioRM		USD	-77.00	77.00	Sales - packing slip re
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	Not settled			028751	SPS-01002047	8/30/2024	401400----		USD	-1,000.00	1,000.00	Sales - packing slip re

- Transactions status will get changed from Not settled to Settled.



Finance and Operations | General ledger > Periodic tasks > Ledger settlements

Settle marked transactions | Reverse marked transactions | Ledger settlement accounts | Unmark for selected users | Unmark all transactions

Ledger settlements

Standard view

From date: 6/1/2024 | To date: 9/30/2024 | Date interval code: | Posting layer: Current | Financial dimension set: | Display transactions

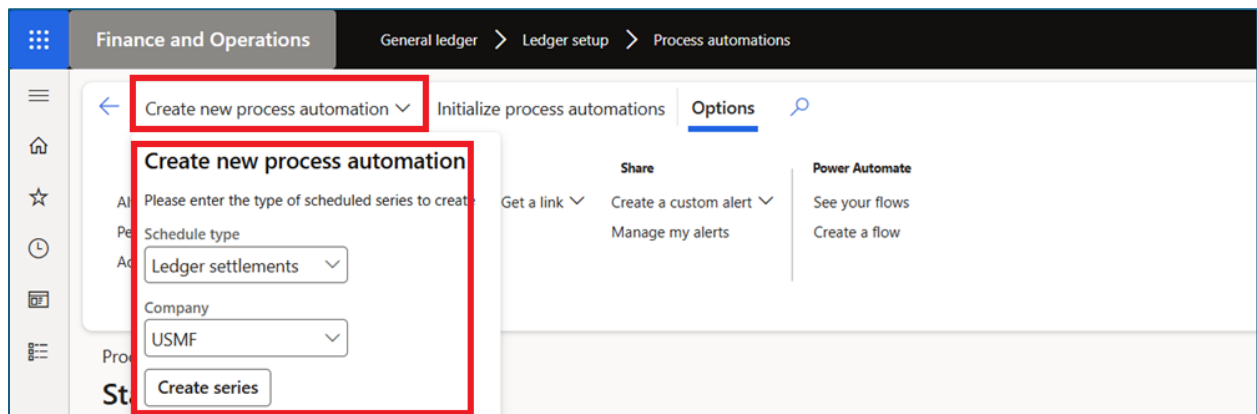
Mark selected | Unmark selected | Selected: -77.00 | Marked: 0.00 | Show all | Status: Settled | Sort by absolute amount: None

Marked	Status	Se...	Dat...	Journal number	Voucher	Date	Ledger account	D...	Currency	Amount in tra...	Amount	Posting
☐	Settled	0...	6/...	028679	SPS-01002035	8/2/2024	401400-002---CarAudioRM		USD	-60.00	60.00	Sales -
☐	Settled	0...	6/...	028680	INV-10000826	8/2/2024	401400-002---CarAudioRM		USD	60.00	60.00	Sales -

Automation of Ledger Settlement

D365 FO also provides an option for automatic ledger settlement. This feature matches transactions based on predefined criteria, reducing the need for manual intervention. To enable automatic ledger settlement:

- Go to General Ledger > Ledger Setup > Process automations
- Click on “Create new process automation” button
- Select Schedule type i.e. Ledger settlement.
- Select Legal entity.
- Click on Create Series.
- Navigate to the General Ledger parameters form.
- Select the "Ledger settlement" tab.



Finance and Operations | General ledger > Ledger setup > Process automations

Create new process automation | Initialize process automations | Options

Create new process automation

Please enter the type of scheduled series to create

Schedule type: Ledger settlements

Company: USMF

Create series

Share: Get a link | Create a custom alert | Manage my alerts

Power Automate: See your flows | Create a flow

- Enter Name and description.
- Define scheduling and alert.
- Click on Next button.

Finance and Operations | General ledger > Ledger setup > Process automations | USMF

Standard view

Create new process automation

General

Ledger settlements match criteria

SERIES

Schedule type: Ledger settlements

Name: Ledger settlements

Description: Ledger settlements

Owner: rohan.manohar.saw...

Company: USMF

Set Batch Log Level: Errors only

SCHEDULING

Schedule time: 06:00:00 PM

Start date: 6/5/2025

End date:

Time zone: (GMT) Coordinated Universal Ti...

OCCURRENCE PATTERN

Repeats: Daily

☒ REPEAT INTERVAL (DAYS)

Daily repeat interval: 1

☐ EVERY WEEKDAY

ALERTS

Ended: ☐ No ☐ Canceled

Error: ☒ Yes

OTHER ALERTS

Email: ☐ No ☐ Show pop-ups

rohan.manohar.sawant@pwcali...

Back **Next** Cancel

- Move ledger account which are applicable for automatic settlement into Selected main account section. (Note: Accounts selected for ledger settlement in General ledger parameter > Ledger settlement tab available in Available main accounts section)

Finance and Operations | General ledger > Ledger setup > Process automations

Standard view

Create new process automation

General

Ledger settlements match criteria

Define the criteria used to automatically match ledger account debits and credits. The Main account and Posting layer options are required match criteria. Credit transaction if the transaction's accounting currency amounts are equal.

Main accounts

AVAILABLE MAIN ACCOUNTS		SELECTED MAIN ACCOUNTS	
Main acco...	Account name	Main acco...	Account name
☐ 110110	Bank Account - USD	☒ 401400	Accrued Sales (Shi...
☐ 200115	Accounts Payable -...		
☐ 250300	Mortgage Payable		

Match Criteria

Back **Finish** Cancel

- Define matching criteria like Date, Posting layer, financial dimension and Financial tags.
- Once Criteria defined, click on Finish button.

- This process automation will match ledger transactions as per criteria defined in process automation.

Reviewing and Reversing Settlements

Reviewing Settlements

After performing ledger settlements, it is crucial to review them to ensure accuracy. This can be done through the "Unsettled transactions report" and Ledger settlement form (Add filter i.e. status is Settled).

Reversing Settlements

If an error is found during the review, you may need to reverse the settlement. To reverse a settlement:

- Go to the General ledger > Periodic tasks > Ledger settlements
- Filter transactions based on status i.e. Settled.
- Select transactions which user wants to reverse and click on Mark selected

Marked	Status	Se...	Dat...	Journal number	Voucher	Date	Ledger account	D...	Currency	Amount in tra...	Amount	Posting ty
☒	Settled	0...	6/...	028679	SPS-01002035	8/2/2024	401400-002---CarAudioRM		USD	-60.00	60.00	Sales - packing slip re
☒	Settled	0...	6/...	028680	INV-10000826	8/2/2024	401400-002---CarAudioRM		USD	60.00	60.00	Sales - packing slip re

- Click on reverse marked transaction to reverse settlement.
- System will show message box, click on Ok button to process reversal settlement.

Marked	Status	Se...	Dat...	Journal number	Voucher	Date	Ledger account	D...	Currency	Amount in tra...	Amount	Posting type
☒	Settled	0...	6/...	028679	SPS-01002035	8/2/2024	401400-002---CarAudioRM		USD	-60.00	60.00	Sales - packing slip re
☒	Settled	0...	6/...	028680	INV-10000826	8/2/2024	401400-002---CarAudioRM		USD	60.00	60.00	Sales - packing slip re

Conclusion

Ledger settlement is a fundamental aspect of financial management in D365 FO. By following the steps and best practices outlined in this guide, users can ensure accurate and efficient ledger settlements, contributing to the overall financial health of their organization.

Hope this will help.

Cheers 😊